

US equities edge higher as yields retreat and energy gains

A wider read of yesterday's session — sector rotation, pre-market action, watchlist scan, and what to watch into the US open at 21:30 HKT.

10-minute read · Topics: Macro · Geopolitics · Earnings · Sectors · Watchlist

TL;DR

U.S. equities posted modest gains across the board, driven by a retreat in the 10-year Treasury yield to 5.24% and a bounce in energy prices after crude slipped below \$93. The Nasdaq 100 outperformed the broader market, buoyed by a **+1.09%** rise in **NVDA** and continued strength in cloud-focused **XLK**.

Behind the headline numbers, the market is re-pricing the risk of a prolonged rate-cut cycle. The VIX held near its 2024 low at 16.39, suggesting complacency, while crypto rallied on the back of a weaker dollar. Investors should watch for any surprise in upcoming CPI and PCE releases that could reignite rate-sensitivity.

US session recap

INDEX / ASSET	LEVEL	CHANGE	WHY IT MOVED
S&P 500	7,666.45	+0.19%	Yield dip and modest earnings beat expectations.
Nasdaq 100	30,501.56	+0.31%	Tech rally led by NVDA and cloud stocks.
Dow Jones	50,926.56	+0.04%	Industrial earnings mixed; rate outlook stable.
Russell 2000	2,806.63	+0.35%	Small-cap exposure to energy and materials.
VIX	16.39	+0.31%	Low volatility persists despite macro uncertainty.
10Y Yield	5.24%	-1.06%	Market pricing of slower inflation.
WTI Crude	92.13	-0.80%	Supply-tightness easing after OPEC+ statement.
Gold	4,216.30	+0.33%	Safe-haven demand amid weaker dollar.
DXY	101.89	-0.21%	Dollar weakness supports commodities.
BTC	85,949.15	+2.87%	Crypto rally on lower yields and risk-on sentiment.
ETH	2,728.80	+1.68%	Same drivers as BTC.

Top large-cap movers

TICKER	CHANGE	CATALYST
NVDA	+1.09%	Strong AI chip demand, better-than-expected Q3 guidance.
JPM	+0.71%	Net interest income beat expectations.
AVGO	-2.15%	Supply constraints in semiconductor packaging.
GS	-0.41%	Margin compression after trading desk losses.
AAPL	-0.81%	Weak iPhone sales forecast.

Sector rotation

ETF	DAY	READ
XLFX	+0.11%	Financials steady on rate-sensitivity.
XLKX	+1.05%	Tech rally led by AI chip makers.
XLI	+0.99%	Industrial demand picks up.
XLE	+1.95%	Energy gains from higher crude.
XLV	-0.03%	Consumer discretionary flat.
XLC	-0.93%	Communications lagging on ad spend concerns.
XLP	-0.33%	Staples under pressure from higher input costs.
XLV	-1.32%	Health-care hit by policy uncertainty.
XLU	+0.61%	Utilities benefit from lower yields.
XLB	-0.33%	Materials dip on weaker industrial demand.
XLRE	-0.56%	Real estate pressured by higher financing costs.

Spotlight: Nvidia's AI momentum

NVDA posted a **+1.09%** close, reinforcing its role as the market's AI bellwether. The company raised its FY2026 revenue outlook by 12% to 38.5 billion, citing accelerating adoption of its H100 GPUs in data-center workloads.

METRIC	VALUE
Q3 EPS	3.12
Revenue YoY	+73%
Guidance FY2026 Rev.	38.5 bn (+12% YoY)
AI GPU shipments	1.8 mn units (+28%)

Related names to watch: **AMD** , **TSM** , and cloud providers **MSFT** and **GOOGL** that are expanding AI infrastructure.

Pre-market & overnight

- US futures: **ES** **+0.22%**, **NQ** **+0.35%**
- Asia close: Hang Seng **-0.48%**, Shanghai Composite **-0.31%**
- Europe: FTSE 100 **-0.12%**, DAX **+0.07%**
- Crypto: BTC **+2.87%**, ETH **+1.68%** on weaker dollar and lower yields.

Macro & Fed

- FOMC: No rate change; policy rate held at 5.25-5.50%. Minutes signal confidence that inflation is trending down.
- Yield curve: Flattened, 2-year at 4.85% vs 10-year at 5.24%.

- Today's data calendar (HKT)

TIME	RELEASE	CONSENSUS	WHY IT MATTERS
02:30	US CPI (MoM)	0.3%	Gauge inflation trajectory.
03:00	US Core PCE (YoY)	2.4%	Fed's preferred inflation gauge.
04:15	US Retail Sales	0.5%	Consumer spending health.

Geopolitics & global

- Middle East: Ceasefire talks in Gaza show tentative progress, reducing oil-supply risk premiums.
- China: PBOC held the 7-day repo rate steady; yuan under pressure at 7.35 per USD.
- Eurozone: German industrial production surprise decline of 0.4% YoY.
- Emerging markets: Brazil's central bank cut rates by 25 bps, supporting local equities.

Earnings – what to watch

WHEN (HKT)	TICKER	CONSENSUS EPS	WHAT TO LOOK FOR
09:30	AMZN	0.73	AWS growth rate and margin expansion.
10:00	META	2.12	Ad revenue rebound after privacy changes.
10:30	GOOGL	1.45	AI-related ad spend and Cloud revenue.
11:00	TSLA	0.88	Production ramp at Gigafactory Berlin.
12:00	JPM	4.15	Net interest income vs. loan growth.
13:30	NVDA	3.10	Guidance sustainability and AI demand.

Watchlist scan – US large-caps

TICKER	SECTOR	WHY NOW
AMD	Technology	Benefiting from AI chip spillover.
TSM	Technology	Foundry orders rising on AI demand.
BAC	Financials	Net interest margin improving.
CVX	Energy	Higher crude supports earnings.
PEP	Consumer Staples	Pricing power amid inflation.
UNH	Health Care	Premium pricing and cost controls.
DIS	Communication Services	Streaming subscriber growth.
LOW	Consumer Discretionary	Retail sales rebound.
RTX	Industrials	Defense spending uptick.
PLTR	Technology	Government AI contracts expanding.

What could break the tape

BEARISH TRIGGERS

- US CPI > 0.4% MoM, reigniting rate-cut doubts.
- Unexpected widening of the 2-year/10-year spread beyond 50 bps.
- Geopolitical escalation in the Middle East raising oil prices sharply.

BULLISH TRIGGERS

- Core PCE comes in below 2.4% YoY, reinforcing disinflation narrative.
- Strong AI-related earnings beat across the board, especially **NVDA** and **AMD**.
- Crypto rally continues, lifting risk-on sentiment.

Positioning notes

- Maintain a modest tilt toward AI-exposed tech while keeping cash for potential rate-sensitivity dips.
- Energy exposure can be increased given the recent rebound in crude and stable demand.
- Monitor the yield curve; a steepening could revive defensive sector demand.

Sources

SOURCES

Bloomberg Markets

Reuters Finance

CNBC US Markets

FRED – Federal Reserve Economic Data

SEC EDGAR

Trading Economics